1. Here this should be noted that India will be a planned economy, was well-decided before this industrial policy which articulated for an ***active role*** of state in the economy. The main objective of planning pointed out at this time was ***poverty alleviation*** by a judicious exploitation of the resources of the country. Only 'mixed economy' did fit such a wish (***Conference of State Industry Ministers, 1938***).
2. The nationalisation of industrial units allowed the government to enter the unreserved areas which consequently increased its industrial presence. Though the nationalisation was provided a highly rational official reason of ***greater public benefit,*** the private sector always doubted it and took it as an insecurity and major unseen future hurdle in the expansion of the private industries in the country.
3. The central government had always the option open to set up an industry in any of these 12 industrial areas. This happened in the coming years via two methods—first, the *nationalisation* and second, the *joint sector*.
4. Industrial Policy Resolution, 1956 (30 Oct.).
5. V.M. Dandekar, ***Forty Years After Independence*** in Bimal Jalan edited ***Indian Economy: Problems and Prospects,*** Penguin Books, N. Delhi, Revised Edition, 2004, p. 63.
6. The statement we get in the ***Second Five Year Plan (1956–61),*** too.
7. Bimal Jalan, ***India's Economic Policy,*** Penguin Books, N. Delhi, 1992, p. 23.
8. V.M., Dandekar, op.cit, p. 64.
9. These industries which were set up after procuring ***'licences'*** from the government had fixed upper limits of their production known as ***'quota'*** and they needed to procure timely 'permit' (i.e. permission) for the supply of the raw materials—that is why such a name to the whole system.
10. Such a commitment went completely against the *'theory of industrial location'*.
11. There were four specific committees set up on this issue, namely ***Swaminathan Committee (1964), Mahalanobis Committee (1964), R.K. Hazari Committee (1967)*** and ***S. Dutt Committee (1969).*** The Administrative Reform Commission (1969) did also point out the short comings of the industrial licencing policy perpetuated since 1956.
12. ***Dutt Committee,*** 1969.
13. The upward revision was logical as it was hindering the organic growth of such companies—neither the capacity addition was possible nor an investment for technological upgrading.
14. Out of the six core industries only the cement and iron & steel industries were open for the private investment with the rest fully ***reserved*** for the central public sector investment.
15. This is considered a follow up to such suggestions forwarded by the ***Industrial Licensing Policy Inquiry Committee*** (S. Dutt, Chairman), Government of India, N. Delhi, 1969.
16. The FERA got executed on January 1, 1974. The private sector in the country always complained against this act and doubled its official intention.
17. This limited permission was restricted to the areas where there was a need of foreign capital. Such MNCs entered the Indian economy with the help of a partner from India—the partner being the major one with 74 per cent shares in the subsidiaries set up by the MNCs. The MNCs invested via ***technology transfer route.*** Basically, this was an attempt to make up the loss being incurred by the FERA. This was the period when most of the MNCs had the chances to enter India. Once economic reforms started by 1991, many of them increased their